

CHANDRADEEP KUMAR

CASE STUDY

Sachin Mishra, 31
Government employee,
Ayodhya, Uttar Pradesh

Skimping on His Dreams

For Sachin Mishra, the long-time dream of owning a car remains out of reach. A government land revenue officer, Mishra travels extensively for work, often navigating Ayodhya's patchy public transport. He had hoped to buy a car before his marriage last year, believing it would ease his daily commute and provide comfort to his family. Winters make night travel unbearable, scorching summer afternoons are energy-sapping, and rains add a layer of difficulty. But rising costs and limited savings have delayed the desired purchase.

"A car feels like a necessity, but given the circumstances, it is still a distant dream. Maybe in a few months, I will consider a secondhand car," says Mishra, whose family income is Rs 10 lakh a year.

Though a government job came with hopes of a better financial future, much of Mishra's savings have gone into repaying family loans. Currently, a personal loan he took in 2023 claims a quarter of his salary. Another 20-30 per cent goes toward rent and groceries, leaving little to meet long-term goals. Supporting his parents further limits his ability to save.

Steep interest rates on car loans and the rising cost of maintenance have also played a role in deterring Mishra. "People assume a government job means financial stability, but most of my earnings are tied up in meeting responsibilities," Mishra adds.

-Avaneesh Mishra

Frank India. "And as much as 39 per cent of the inventory is concentrated in units priced under Rs 50 lakh." To make matters worse, real estate players are shifting to the mid and upper ends. As a result, new supply of affordable apartments declined 21 per cent in April-June 2024 across seven major cities.

THE NOT SO FAST-MOVING CONSUMER GOODS

Other sectors are hurting too. For 32-year-old Vandita Nainani in Ahmedabad, appearances matter in her profession as an interior designer. But as her clients cut back on their spending on interiors due to the 30-40 per cent rise in material costs, Nainani has had to reconsider her own purchases, including on hair colour and highlights. "I wait for deals on shampoos and then worry about the quality of the product and the impact it will have on my hair," the first-generation entrepreneur says. Nainani's behaviour is consistent with what buyers of fast-moving consumer goods (FMCG) do when their budgets get squeezed: cut down or postpone the purchase of non-essential items, as Anuj Sethi, senior director at ratings agency Crisil, points out. This is true particularly of urban areas. Several FMCG companies have raised concerns about weak urban demand in their Q2 earnings calls. "Growth in big cities is trending down, although growth in smaller cities and rural areas remains strong," says Rohit Jawa, MD & CEO at Hindustan Unilever Ltd. This, in turn, is impacting the revenues and profits of these companies. FMCG sales value has slowed significantly, dropping from a 10 per cent rise in September 2023 to 5.6 per cent in September 2024. In real terms, the growth was even slower, if you factor in the overall

"Unsold inventory has consistently increased since 2020 as supply levels have exceeded sales. And as much as 39 per cent of this inventory is in sub-Rs 50 lakh units"

– GULAM ZIA
Senior Executive Director, Knight Frank

